

Approval Matrix Policy

Purpose

An approval matrix sets out the individuals who have authority to approve requests and the basis on which approval is required. It replaces ad hoc decisions with clear rules and promotes accountability. This policy defines the approval levels for spending, contracts, travel and other business activities.

Guiding Principles

- Approvals are required before commitments are made. Employees must not engage vendors, book travel or incur expenses until the appropriate approver has given consent.
- The approver's level is determined by the nature of the request (purchase, contract, travel, etc.) and its monetary value.
- Employees should seek the lowest level of approval capable of authorizing the request; higher levels provide oversight for larger or higher-risk items.
- Delegated authorities are documented and periodically reviewed; unauthorized delegation is prohibited.

Approval Levels

Spend Category	Amount Range	Required Approver
Operational expenses (supplies, subscriptions)	Up to \$500	No approval; automatic
Operational expenses	\$501 – \$5,000	Direct Manager
Operational expenses	\$5,001 – \$10,000	Department Head
Operational expenses	Above \$10,000	Chief Financial Officer
Travel and T&E expenses	Up to \$1,000	Direct Manager
Travel and T&E expenses	\$1,001 – \$5,000	Department Head
Travel and T&E expenses	Above \$5,000	Chief Financial Officer
Contracts and vendor agreements	Up to \$25,000	Department Head
Contracts and vendor agreements	\$25,001 – \$100,000	Chief Financial Officer
Contracts and vendor agreements	Above \$100,000	Chief Executive Officer
Capital expenditures	Any amount	Board of Directors or designated committee

Roles and Responsibilities

Employee/Requestor: Prepare the request, provide supporting documentation and ensure that the request is within policy.

Direct Manager: Review the request for reasonableness, ensure budget availability and approve or deny requests within their authority.

Department Head: Provide additional oversight for mid-sized expenses; verify that multiple quotes or bids have been obtained when required.

Chief Financial Officer: Approve high-value purchases, contracts and exceptions; ensure compliance with financial controls and corporate strategy.

Chief Executive Officer or Board: Approve strategic contracts, capital expenditures and other commitments that have significant impact on the organization.

Exceptions and Escalation

In emergencies, where waiting for approval would cause material harm, employees may proceed after obtaining verbal approval from a manager or executive. A written justification must follow within 24 hours. If a designated approver is unavailable, the request should be escalated to the next higher-level authority. All exceptions must be documented and will be reviewed periodically by the finance team.